

## Forest 05 2023

### Originator: Spandana Sphoorty Financial Limited

August 14, 2023

| Instrument <sup>#</sup> | Amount (₹ crore) | Rating <sup>1</sup> | Rating Action         |
|-------------------------|------------------|---------------------|-----------------------|
| Series A1 PTCs          | 65.00            | CARE AA- (SO)       | Final Rating Assigned |

<sup>#</sup>The PTCs are rated based on timely payment of interest and payment of principal on or before the last scheduled payout date.

Details of instruments/facilities in Annexure-1.

#### **Rationale and key rating drivers**

CARE Ratings Limited (CARE Ratings) had assigned the rating of 'Provisional CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] to the Series A1 PTCs issued by Forest 05 2023, backed by a pool of microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL).

The rating is now confirmed and 'CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] has been assigned to Series A1 PTCs.

Furthermore, the above rating was final based on the below-mentioned documents submitted to the satisfaction of CARE Ratings:

- a) Account agreement
- b) Assignment agreement
- c) Servicing agreement
- d) Trust deed
- e) Power of attorney
- f) Information memorandum
- g) Legal opinion from an independent legal counsel
- h) KYC audit report.

#### **Rating sensitivities: Factors likely to lead to rating actions**

##### **Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:**

- Delinquencies (90+ DPD) of <2% coupled with the sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of cash collateral (CC) of more than 2x the initial proposed (as a percentage of the balance principal outstanding [POS]).

##### **Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:**

- Delinquencies (90+ DPD) of >5% coupled with the sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Sharp deterioration in the credit profile of the originator.
- Non-adherence to key transaction terms envisaged at the time of the rating.

#### **Analytical approach**

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

#### **Detailed description of the key rating drivers**

The ratings assigned are finalised based on the structure provided to CARE Ratings by SSFL, the originator. The ratings have been confirmed after copies of the legal documents executed in accordance with the structure, a due-diligence audit report by an external auditor, and an independent legal opinion was furnished by the originator (SSFL), to the satisfaction of CARE Ratings.

#### **Key strengths:**

- The robustness of transaction structure and well-defined payment mechanism.
- Credit enhancement comprising CC, subordinated over collateral (OC) and excess interest spread (EIS).
- No overdue contracts as on the pool cut-off date; all contracts are ever current as on the pool cut-off date.

<sup>1</sup>Complete definition of the ratings assigned are available at [www.careedge.in](http://www.careedge.in) and other CARE Ratings Ltd.'s publications

- Underwriting policies and collection capabilities of SSFL.
- High-weighted average seasoning (based on EMI's paid) of around 4.20 months with amortisation of around 13.48.

#### **Key weakness:**

- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

#### **Liquidity: Strong**

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised on a monthly basis, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of any delinquency, the payouts are expected to be supported by credit enhancement consisting of CC, principal subordination in the form of OC and EIS.

#### **Key rating assumptions**

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover the shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of static pools provided by the originator and the overall portfolio performance of the originator. Considering the borrower profile, nature of the loan, pool characteristics, and portfolio performance, CARE Ratings has taken the average shortfall at 10.50% - 12.50% of the principal outstanding. The base case shortfalls were stressed along with other key factors, such as the timing of shortfalls, the recovery assumptions, and the time to recovery

#### **Applicable criteria**

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

#### **About the company and industry**

##### **Industry classification**

| Macro-Economic Indicator | Sector             | Industry | Basic Industry |
|--------------------------|--------------------|----------|----------------|
| Financial Services       | Financial Services | Finance  | Securitisation |

SSFL is primarily engaged in extending microfinance loans through the joint liability group (JLG) model, primarily to borrowers belonging to low-income households, since 1997. In 2003, the company was registered with the Reserve Bank of India (RBI) as a non-deposit taking non-banking finance company (NBFC-ND) and is currently registered under the new category of NBFC-MFI. The company went into corporate debt restructuring (CDR) post the Andhra Pradesh crisis in 2010 and exited the CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board; however, does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO, Shalabh Saxena, and CFO, Ashish Damani, were previously a part of Bharat Financial. The positions of CTO, CBO and CXO were also filled thereafter by professionals from Kedaara Capital.

#### **Key financial indicators - SSFL**

| Particulars               | FY21 (A) | FY22 (A) | FY23 (P) |
|---------------------------|----------|----------|----------|
| Total Income (₹ crore)    | 1,465    | 1,392    | 1,394    |
| PAT (₹ crore)             | 1026     | 862      | 788      |
| Interest coverage (times) | 1.42     | 1.12     | 1.13     |
| Total assets (₹ crore)    | 8,241    | 6,676    | 9,185    |
| Net NPA (%)               | 3.27%    | 6.78%    | 0.58%    |
| ROTA (%)                  | 1.55%    | 0.68%    | 0.16%    |

A: Audited; P: Provisional. Note: 'the above results are latest financial results available'.

**Status of non-cooperation with the previous CRA:** Not applicable

**Any other information:** Nil

**Rating history for the last three years:** Please refer Annexure-2

**Covenants of the rated instruments/facilities:** Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

**Complexity level of the various instruments:** Annexure-4

**Lender details:** Annexure-5

#### Annexure-1: Details of instruments/facilities

| Name of the Instrument    | ISIN | Date of Issuance (DD-MM-YYYY) | Coupon Rate | Maturity Date (DD-MM-YYYY) | Size of the Issue (₹ crore) | Rating Assigned along with Rating Outlook |
|---------------------------|------|-------------------------------|-------------|----------------------------|-----------------------------|-------------------------------------------|
| Pass-through certificates | -    | 14-06-2023                    | 10.00%      | 17-03-2025                 | 65.00                       | CARE AA- (SO)                             |

#### Annexure-2: Rating history for the last three years

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings |                              |               | Rating History                                                                     |                                             |                                             |                                             |
|---------|----------------------------------------|-----------------|------------------------------|---------------|------------------------------------------------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|
|         |                                        | Type            | Amount Outstanding (₹ crore) | Rating        | Date(s) and Rating(s) assigned in 2023-2024                                        | Date(s) and Rating(s) assigned in 2022-2023 | Date(s) and Rating(s) assigned in 2021-2022 | Date(s) and Rating(s) assigned in 2020-2021 |
| 1       | Pass-through certificates              | LT*             | 65.00                        | CARE AA- (SO) | 1)Provisional CARE AA- (SO) (20-Jun-23)<br>2)Provisional CARE AA- (SO) (07-Jun-23) | -                                           | -                                           | -                                           |

LT\*- Long term

#### Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

#### Annexure-4: Complexity level of the various instruments rated

| Sr. No. | Name of Instrument        | Complexity Level |
|---------|---------------------------|------------------|
| 1.      | Pass-through certificates | Highly complex   |

#### Annexure-5: Lender details

Not applicable

**Note on the complexity levels of the rated instruments:** CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

## Contact us

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### About us:

Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

### Disclaimer:

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